

Interestingly, when surveyed, gift givers report a substantially higher incidence and dollar amount of gift giving than their adult children who are the recipients.

Much EOC is distributed in lump sums or erratic patterns. For example, affluent parents and grandparents are likely to give their children entire coin collections, stamp collections, and similar gifts in one transfer. About one in four affluent parents has already given such collections to his or her adult children or grandchildren. Similarly, payment of medical and dental expenses is often precipitated by a grandchild's need for orthodontal work or plastic surgery. About 45 percent of the affluent have provided for the medical/dental expenses of their adult children and/or grandchildren.

During the next ten years, the affluent population in America (defined as those with a net worth of \$1 million or more) will increase five to seven times faster than the household population in general. Directly paralleling this growth, the affluent population will produce significantly more children and grandchildren than in the past. Economic outpatient care will increase greatly during this period. The number of estates in the \$1 million or more range will increase by 246 percent during the next decade; these estates will be valued (in 1990 constant dollars) at a total of more than \$2 trillion! But nearly the same amount will be distributed before millionaire parents become decedents. Much of this wealth will be distributed by so-called pre-decedent affluent parents and grandparents to their children/grandchildren.

The costs to provide outpatient care will also increase substantially in the future. Private school tuition, foreign luxury automobiles, homes in fashionable suburbs, cosmetic medical and dental services, law school tuition, and many other EOC items are increasing at rates that greatly exceed the general cost-of-living index.

In addition, as our population ages, more and more affluent parents and grandparents are reaching the age of estate tax realization. Widows and widowers especially are becoming more aware that the government can take 55 percent or more of their estate via estate tax mandates. Thus, as the affluent grow older, they will increase the size and incidence of their EOC in order to reduce the tax burden on their estates.